EASTVIEW

Residential Transition Loan
5+ Units Multifamily

Underwriting Credit Guidelines

(Effective September 2024)

Version 1.0

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Disclosures

Origination Policy

All loans will be underwritten by a member of the underwriting team pursuant to the guidelines contained herein and per the process described below prior to submitting to the Investment Committee. All loans will require Investment Committee Approval pursuant to these guidelines prior to purchasing. Eastview maintains the right to reject a loan for any reason not specified in the guidelines as it sees fit. This Underwriting Guide establishes the minimum requirements that must be met to originate short term Residential Transition loans ("RTL") by Eastview as a loan buyer or table funder. Every subject loan is subject to a full diligence review executed by Eastview. All loans underwritten under this program are business purpose loans with a fully executed affidavit from the borrowers/guarantors.

Applicable Law

Any originator, seller, or any third-party originator or broker engaged by the Seller must fully comply with all federal, state, and local laws applicable to the origination and sale of mortgage loans ("Applicable Law"). It is the Seller's sole responsibility to ensure that all loans it originates comply with Applicable Law.

Fair Lending

Eastview strictly complies with all applicable federal, state, and local requirements related to fair lending, including the Equal Credit Opportunity Act and the Fair Housing Act (together, the "Fair Lending Requirements"). Accordingly, in connection with its decision to purchase / table fund loans, Eastview will not discriminate on any prohibited basis. Eastview will also not knowingly purchase loans from Sellers engaged in practices that violate Fair Lending Requirements. To the extent a Seller is found to be engaging in practices that may violate Fair Lending Requirements, Eastview may terminate its contractual relationship with such Seller or take any other action that it deems appropriate.

State Licensing

The Seller must comply with all applicable state license and registration requirements in connection with mortgage loan origination and any other related business activities, which include without limitation:

- Ensuring that each loan officer/originator/broker involved in the origination of loans delivered to Eastview is appropriately licensed.
- Maintaining appropriate organizational licensure based on the type and location of the activities it engages in.

List of Underwriting Documents

Ordered by Lender:

- Appraisal Report
- Credit Report
- Background Report
- OFAC Check
- Preliminary Title Report
- Flood Certificate
- Property Condition Assessment
- Environmental Screen Assessment
- Environmental Report (EDR or Phase I)
- Seismic Screen Assessment
- Feasibility Analysis (when applicable)
- Engineer Project Review

All Products - Provided by the borrower:

- Loan Application / Credit Authorization
- ID or Passport
- Proof of Liquidity
- Insurance
- Track Record
- Bank Statements
- Leases
- T12 (for Refinances)
- Rent Roll
- Entity Documents
    - Certificate of Formation / Filed Articles of Organization
    - Operating Agreement / Partnership Agreement / Bylaws
    - Certificate of Good Standing
    - EIN Verification

Loan Purpose: Purchase

- Purchase Agreement

Loan Purpose: Refinance

- Payoff Letter / VOM

Closing Documents

- Deed of Trust or Mortgage
- Note
- Loan Agreement
- Guarantee
- Closing Instructions and Closing Protection Letter

Loan Programs and Qualifications

Eastview offers two multifamily loan products: (i) *Small Balance - DSCR* and (ii) *Small Balance - Agency.* All products require a Borrower Classification which is derived by with the sum of the Credit Decision Score and the # of Verified Experience Score as shown in the table below.

In order to determine the Credit Decision Score please refer to section *Borrower Underwriting / Credit & Background*

In order to determine the # of Verified Experience Score please refer to section *Borrower Underwriting / Track Record Documentation.*

	Bucket	**Score**
Credit Decision Score	>= 750	3
	700-749	2
	< 700 / Foreign National	0
# of Verified Experience	20+	7
	10-19	5
	3-9	3
	< 3	1

	Borrower Classification	**Total Score**
Total Score	A^+	>=7
	A	5-6

Leverage Matrices

CAPEX Loan

Loan Purpose	Borrower Classification	Initial Loan Amount AS-IS LTV	Initial Loan Amount LTC	Loan Amount LTARV
Purchase	A^+	80.0%	80.0%	70.0%
	A	80.0%	80.0%	65.0%
Refinance (Rate & Term)	A^+	75.0%	N/A	65.0%
	A	75.0%	N/A	60.0%
Refinance (Cash Out)	A^+	65.0%	N/A	55.0%
	A	65.0%	N/A	50.0%

BRIDGE Loan

Loan Purpose	Borrower Classification	Initial Loan Amount AS-IS LTV	Initial Loan Amount LTC	Loan Amount LTARV
Purchase	A^+	75.0%	75.0%	N/A
	A	72.5%	72.5%	N/A
Refinance (Rate & Term)	A^+	70.0%	N/A	N/A
	A	67.5%	N/A	N/A
Refinance (Cash Out)	A^+	55.0%	N/A	N/A
	A	50.0%	N/A	N/A

Underwriting Description	Leverage Reductions
Heavy Rehab Projects	-5%
Declining Rents per Appraisal	-5%
Declining Home Price Market per Appraisal or Zillow HPA	-5%

Definitions

Bridge Loan: All transaction types that do not include a rehab component.

CAPEX Loan: All transaction types that do include a rehab component.

Initial Loan Amount: Total proceeds disbursed at closing. Does not include any rehab escrow.

Loan Amount: Initial Loan Amount plus rehab escrow, if applicable.

Initial Loan to Cost ("LTC"): Initial Loan Amount divided by the Cost Basis of the subject property.

- **Cost Basis**: The total closing costs as disclosed in the HUD / Settlement statement without including any origination points paid to the lender or the broker (if applicable). Cost basis can include assignments fees up to 5% of property's purchase price. Regarding completed rehabilitation, the borrower needs to provide before/after photos verifying the completed work.

Refinance Cost Basis: The sum of the original property purchase price and any previously completed rehabilitation cost for which the borrower needs to provide before/after photos verifying the completed work.

Initial Loan to Value ("LTV"): Initial Loan Amount divided by "As-Is" appraised value.

Loan to After-Repair Value ("LTARV"): Loan Amount divided by "After-Repair" appraised value.

Heavy Rehab: Defined as rehab budgets that are greater than 100% of the property purchase price or as-is value of the property if the loan is a refinance.

Loan Purpose:

- **Purchase:** The property was acquired within 6 months of loan origination.
- **Refinance (Rate & Term):** The property was acquired more than 6 months before loan origination and the borrower's net receivable funds at closing represent less than or equal to 2% of the loan amount or less than $2,000.
- **Refinance (Cash Out):** The property was acquired more than 6 months before loan origination and the borrower's net receivable funds at closing represent more than 2% of the loan amount or more than or equal to $2,000.

Eligible Loan Characteristics

Small Balance – DSCR	Properties with 5 to 8 units
Small Balance – Agency	Properties with 9 or more units
Min Loan Amount	$500,000 (Small Balance - DSCR) $1,000,000 (Small Balance - Agency)
Max Loan Amount Range	$3,000,000 (Small Balance - DSCR) $3,500,000 (Small Balance - Agency)
Min Value per Unit	$100,000 $50,000-$99,999 (on an exception basis)
Max Loan Amount per Unit	$400,000
Minimum Qualifying Credit Score	680
Loan Term - *Small Balance*	12-24 Months
Loan Structure	Interest Only
Rate Type	Fixed Rate
Interest Accrual	Loans with Capex: - Dutch / Single Funding (With Rehab Escrow) - Non-Dutch / Multiple Draws Stabilization Loans: - Single Funding (No Rehab Escrow)
Collateral Class	Class: A, B and C
Interest Reserves	Most cases, 3 months required at closing. Reserves may be waived for certain loans subject to borrower experience and lender approval
Insurance & Tax Reserves	Not required
Property Management	Not Required
Yield Maintenance	Not Required
Lien	Only first liens are allowed
Origination Points	May not exceed 5% of the loan amount
Borrowing Entity	The following structures are allowed: - LLC - Limited Partnership - Corporation - Irrevocable Trust
Property Ownership	Fee Simple. Leasehold is not permitted
Recourse	All loans should have executed personal guarantees by at least 51% of the entity's ownership

Not Permitted States	North Dakota, South Dakota, Hawaii, and Alaska
Seller's Concession	May not exceed 5% of the property purchase price
Verification of Income	Not Required
Quarterly Reporting	Not Required
NY State Requirements	No 421A, market rent only

Credit Underwriting

Property Underwriting

Valuation Methodology

Eastview requires independent third-party valuations for all loans tabled funded or aggregated. Eastview reserves the right to review all valuation reports and determine if the subject property value is supported.

Valuation assignments must be obtained in a manner that maintains third-party independence and does not unduly influence the appraiser/broker to meet a predetermined value. Eastview reserves the right to restrict the use of any specific appraiser/broker and/or appraisal management company at its discretion.

The age and price of the subject property should fall within the age and price range of properties in the subject neighborhood. Comparable properties should be selected from the same neighborhood when possible. Selection of a comparable outside the subject neighborhood should be addressed within the report. For condominiums, at least one comparable should be from outside the subject project. Ideally, comparable sales should be within six months of the report date. Older comparable sales that are the best indicator of value should be addressed in comments by the appraiser/broker.

Valuations need to comply to the following:

1. Both exterior and interior photos need to be provided.
2. For loans where rehab is contemplated, the valuation needs to provide both As-Is and After-Repair values.
3. The valuation should be dated no more than 120 days prior to the Note date.

Valuations can either be in the format of a **MAI Certified Form** or **Fannie Mae 1050 / Freddie Mac 71A**. The requirements for each valuation type are summarized below:

- Appraisers must meet all industry standards and be State Certified.
- State Licensed Appraisers and Trainees are not permitted.
- The valuation needs to include both approaches of Cashflow/Income Capitalization and Sales Comparison
- Condominium exit loans require “As Repaired” value on both an “As Stabilized” market rental value and “As Complete” market value gross sellout condo value.
- All real estate appraisals must be performed according to the Uniform Standards of Professional Appraisal Practice (USPAP) and Fannie Mae guidelines, including Universal Appraisal Dataset (UAD) requirements.
- Valuations must be ordered from approved vendors (see list below)

A valuation review is required on every loan file unless a second appraisal is obtained. The Secondary Review will need to be within 10% of the As-Is value and 10% of the After-Repair value (if applicable). If the variance is less than 10%, the appraisal value will be used to underwrite the loan. If the variance is greater than 10% the lesser of the two values will be used to underwrite the loan.

Approved Valuation Vendors:

- Bowery
- BBG
- CBRE
- Colliers
- Cushman & Wakefield
- Newmark / JLL

Property Requirements

The property needs to satisfy the following criteria:

- Only the following property types are allowed:
  - 5+ Unit Multifamily
- Minimum square footage per unit is 500.
- Properties not located in the following areas:
  - HPA of < -10%
  - Rural areas (as defined in the appraisal)
- Ineligible properties include:
  - Mobile or manufactured homes.
  - Raw land.
  - Properties with escalated liens as set forth in the title report with local authorities.
  - Properties with environmental hazards such as underground oil tanks.
  - Properties zoned as commercial use.
  - Condotels
  - Properties greater than 10 acres
  - Tenants in Common (TIC)
  - Agricultural properties
  - Timeshares and log homes
  - Properties with deed/resale restrictions

Title Requirements

The following title insurance requirements are applicable to loans purchased:

- The title should be fee simple.
- No liens are accepted on the property.
- The insurance should provide sufficient gap coverage.
- Each dwelling should be its own tax parcel.
- Each dwelling should comply to zoning regulation and have sufficient access to public.
- The policy is produced in the correct form:
    - The 2006 American Land Title Association (ALTA) standard form.
    - An ALTA short form if it provides coverage equivalent to the 2006 ALTA standard form.
    - In states in which standard ATLA forms of coverage are, by law or regulation, not used, the state promulgated standard or short form which provides the same coverage as the equivalent ALTA form.
- The amount of title insurance coverage must at least equal the original principal amount of the mortgage.

The title policy must protect Eastview by insuring:

- That the mortgage is superior to any lien for unpaid common expense assessments. (In jurisdictions that give these assessments a limited priority over a first mortgage lien, the policy must provide assurance that those assessments have been paid through the effective date of the policy.).
- Against any impairment or loss of title of the first lien caused by any past, present, or future violations of any covenants, conditions, or restrictions of the master deed for the project. (It must specifically insure against any loss that results from a violation that existed as of the date of the policy.).
- That the unit does not encroach on another unit or on any of the common elements, areas, or facilities. (The policy also must ensure that there is no encroachment on the unit by another unit or by any of the common elements, areas, or facilities.).
- That the mortgage loan is secured by a unit in a condominium project that has been created in compliance with the applicable enabling statutes.
- That real estate taxes are assessable and lien able only against the individual condominium unit and its undivided interest in the common elements, rather than against the project as a whole.
- That the owner of a PUD unit is a member of the homeowners' association, and that the membership is transferable if the unit is sold.

Property Insurance

The insurance should be sufficient to cover any losses on the property, that in turn jeopardize the lienholder's position. Such losses can occur for various hazard reasons such as destructive natural disasters or manmade events.

The insurance coverage should reflect the following:

- Coverage equal to the lesser of
  - 100% of the replacement cost as established by the property insurer.
  - the original principal balance of the mortgage.
- Sufficient rent loss coverage of 6 months equal to the lesser of:
  - 100% of market rent.
  - 100% of rent in place at loan origination (if rented).
- Minimum Liability coverage of $500,000 if rehab is contemplated.
- If the property is in a flood zone (verified through a flood certificate), coverage equal to the lesser of:
  - 100% of the replacement cost as established by the property insurer.
  - the original principal balance of the mortgage.
  - FEMA max allowed insurable value.
- If the property is a Condominium, the insurance agency needs to provide:
  - Master Property Insurance Policy.
  - H06 /Walls-In Policy.
- If the property is located in an area where the appraisal indicates any seismic construction concerns, earthquake insurance is required.
- Language that includes a mortgagee clause ISAOA/ATIMA and the correct name of the borrowing entity/individual name.
- Insurance coverage should cover the following timelines based on the loan purpose:
  - Purchase: Policy should be in effect by closing and be at least 6 months forward.
  - Refinance or Delayed Purchase: Policy should in effect and with at least 3 months before expiration.

Borrower Underwriting

Track Record Documentation

The sponsor must provide a schedule of previous transactions, current properties owned, and any other property transactions a party to. Experience must be verified through one or more of the following methods:

- Public tax records.
- National property record databases.
- Verification of property ownership/sale within federal tax documents.
- ALTA/HUD-1 Settlement Statements documenting prior transactions.

The following table describes how experience is qualified:

	Experience Description	Qualifying Points	Timeline
1	Property rehab completed and sold	1.00	<= 48 Months
2	Property rehab completed and retained as rental	0.75	<= 48 Months
3	Property acquired as rental	0.50	<= 48 Months
4	Ground up construction and sold	1.00	<= 48 Months
5	Ground up construction and retained as rental	0.75	<= 48 Months
6	Property rehab completed and sold as GC for 3rd party investor	0.50	<= 48 Months
7	Property rehab completed and sold	0.75	> 48 Months
8	Property rehab completed and retained as rental	0.50	> 48 Months
9	Property acquired as rental	0.25	> 48 Months
10	Ground up construction and sold	0.75	> 48 Months
11	Ground up construction and retained as rental	0.50	> 48 Months
12	Property rehab completed and sold as GC for 3rd party investor	0.25	> 48 Months

Experience needs to comply to the following:

- In the case of multiple owners in an entity the combined experience of each owner is used to qualify a loan.
- Eligible experience will be limited to multifamily collateral of 5+ units.
- Each section will require specific verification:
    - **Section 1, 7:** Proof that a property was acquired and sold within a 2 year timeframe.
    - **Section 2, 8:** If the property is owned less than 1 year, a rental lease will be required. If the property is owned more than 1 year, confirmation of ownership through a Property Report. Proof of the rehab completed will also need to be provided.
    - **Section 3, 9:** If the property is owned less than 1 year, a rental lease will be required. If the property is owned more than 1 year, confirmation of ownership through a Property Report.
    - **Section 4, 10:** Proof that a property was built and sold within a 2 year timeframe.
    - **Section 5, 11:** Proof that a property was built within a 2 year timeframe. A rental lease will be required.
    - **Section 6, 12:** Proof of work completed for 3rd parties along with the respective GC license.

Liquidity Requirements

For a loan to fully qualify under the guidelines the entity needs to support the following levels of liquidity.

The minimum requirement is the sum of:

- 6 Months of Payments.
- Non-Financed Rehab.
- Down Payments and Closing Costs (if loan purpose is a purchase).
- Monthly payment associated with payment plan in place regarding outstanding judgments or personal liens in excess of $15,000.

The following are applicable sources of liquidity and must be dated within 2 months of origination:

- 2 most recent months of bank statements.
    - In case a new account was opened, the borrower needs to verify the source of the funds.
- 75% of investment accounts in liquid assets (stocks, bonds, etc.).
- 50% of the value of a retirement plan.
- 100% of cash out proceeds.
- Revolving facility with available credit to be drawn such as:
    - Home equity loan.
    - Line of credit (either in individual's or the entity's name).
- Gifts from immediate family member on an exception basis with supporting documents
    - Executed gift affidavit.
    - Source of funds from the grantor.
- 1031 Exchange letter.
- Written verification of deposit completed by the financial institution.
- Executed letter from attorney or title agency verifying holding funds on behalf of the entity.

Credit & Background

Eastview requires 51% of the entity owners and guarantors to execute an authorization that allows the lender to run the following reports:

Credit Report

To calculate an individual's Credit Decision Score, use the lower of two credit scores or the median of three scores.

To calculate the loan's Credit Decision Score, the qualifying Credit Decision Score of the individual with the highest percentage of ownership will be utilized. In cases where the entity has owners with an equal percentage of ownership, the lesser qualifying Credit Decision Score will be utilized. The following must apply:

1. Show at least two scores for each guarantor through a hard pull.
2. Dated within 90 days of loan origination.
3. For housing events, the required seasoning is:
    a. Bankruptcy: 4 Years (Discharge or Dismissal: 2 Years).
    b. Foreclosure: 2 Years.
    c. Short Sales / Deeds in lieu: 2 Years.
    d. Mortgage Delinquencies: 1 X 30 X 12.

Background Report

1. Dated withing 90 days of loan origination.
2. No criminal findings or misdemeanors are allowed if they involve financial fraud.
3. Eastview reserves the right to examine other criminal findings or misdemeanors on an exception basis.
4. Includes an OFAC search.
5. For foreign nationals, a background report is mandatory even if the system returns a null check.

Derogatory findings in either the credit report or background report must comply to the following:

1. Judgments & Liens:
    a. For collective judgments/liens over $15,000 the borrower will need to remedy with one of the following ways:
        i. Proof that the liens have been fully paid through official release letter.
        ii. Proof that there are payment plans in place that are current.
        iii. If the liens are still outstanding, the incremental amount over the $15,000 limit will need to be paid at closing.

For the subject refinance of a loan, the loan needs to be current at origination and such performance needs to be verified through a payoff letter / VOM from the existing lender.

Project Underwriting

Holdback of Funds / Future Draw Process

All Construction Costs must be held back and disbursed only as milestones found in the Construction Budget and Timeline are achieved:

- For Value-Added Soft Costs: the applicable invoices must be provided prior to advancing funds.
- For Direct Construction Costs: funds are advanced after inspections deem work to have been completed.

Advances made on loans at closing or otherwise contrary to the previously described requirements are by exception only. Draws are not reimbursed for deposits made, materials stored off site or materials stored on site that are not installed and completed.

Disbursement of holdback funds are to be made on a Reimbursement basis.

A third-party inspection is required before any funds allocated for the Direct Construction Costs are advanced. Sponsors can request a drawdown upon completion of a draw request form detailing the work, which will be disbursed based on the percentage of work determined to be completed. A draw request must be accompanied by acceptable documentation of lien waivers from the general contractor and/or major subcontractors if warranted.

Additionally, signed invoices and/or receipts must be provided as proof of payment for items that were not purchased by the general contractor/subcontractors if requested.

Prior to the final draw, Certificate of Occupancy, and proof that all permits are closed in the subject property's locality may be requested for heavy rehab projects. Until these documents are provided, 10% of the construction's funds may be held back.

Underwriting: Conditional Third Party Reports

Project Feasibility Analysis ("PFA")

A third-party project feasibility analysis is required for specific scenarios:

1. Budget is greater than $250,000.
2. There is a change in use / conversion of existing structure.
3. Expansion of at least 20% of the existing square footage.
4. Budget is greater than 100% of purchase price.

The feasibility analysis shall consist of a detailed review of the plan including:

1. Budget Review.
2. Regional costing acceptability.
3. Line-item cost verification.
4. Missing items on budget.
5. Sufficient contingency funds.

Approved vendors are:

- CFSI Loan Management
- Land Gorilla
- Trinity

Engineer Project Review ("EPR")

For budgets greater than $1,000,000 an Engineer Project Review with Site Visit is required.

Approved vendors are:

- Partners ESI
- CBRE
- KOW Building Consultants
- AEI Consultants

Property Condition Assessment ("PCA")

A third-party property condition assessment ("PCA") is required for all loans for that qualify under the Bridge product.

Approved vendors are:

- Partners ESI
- Hillman Consulting
- AEI Consultants
- KOW Building Consultants
- EMJ Construction

Environmental Certification

For all loans, an environmental screen assessment ("ESA") is required.

Approved vendors are:

- EDR (Risk Ratings Report)
- Partners ESI (Regulatory Database Review)
- Salem Environmental (Environmental Screening Report)

For any loans with an ESA result of "Elevated Risk" or "High Risk" or for loan amount over $3.0MM a Phase 1 Assessment is required.

Approved vendors are:

- Partners ESI
- Salem
- AEI Consultants
- CBRE
- GRS Group
- Hillman Consulting
- Velocity Consulting
- KOW Building Consultants
- EMJ Construction

Seismic Certification

For all properties where the appraisal indicates any seismic construction concerns or with a Peak Ground Acceleration ("PGA") >= 0.15g as computed by the Unites States Geological Survey (https://earthquake.usgs.gov/hazards/interactive/) will require a Level 1 Seismic Risk Assessment ("SRA") when a third party evaluation determines that any of the following conditions are present:

- Any property with a certificate of occupancy issued prior to 1980 with residential units above ground floor commercial, retail, or tuck under parking.
- Any wood framed building that was constructed before 1950.
- Any unreinforced masonry construction regardless of seismic retrofit

If the results from a Level 1 SRA determine that there is more than a 20% and up to a 40% probable maximum loss ("PML") earthquake insurance is required. Any PML greater than 40%, any building constructed of unreinforced masonry with no seismic retrofit, or any building constructed on a hillside with a slope exceeding a 30-degree angle (50% slope) is not an eligible property for Eastview.

Project Profitability: Debt Yield

Each loan that qualifies under the product will need to fall within the minimum profitability thresholds set forth below for *Debt Yield*.

The minimum *Debt Yield* requirement varies according to the table below.

Min Debt Yield	Value Per Unit
9.00%	$300,000 - $400,000
9.50%	$200,000 - $299,000
10.00%	$100,000 - $199,000
10.50%	$50,000 - $99,000

The components of a *Debt Yield* calculation are set forth below:

$$\text{Debt Yield} = \frac{\text{Net Operating Income}}{\text{Loan Amount}}$$

Net Operating Income ("NOI"):

NOI = Gross Potential Revenues ("GPR") - Operating Expenses & Vacancy ("OPEV") - Taxes - Insurance

- Gross Potential Revenues ("GPR")
  - *As defined in the appraisal*
- Operating Expenses & Vacancy ("OPEV")
  - As defined in the appraisal
- Taxes
  - As defined in the tax certificate or appraisal for projected amount (higher of the two)
- Insurance
  - As defined in the insurance policy. Must include flood if the property is located in flood zone.

Exit Strategy: Small Balance – DSCR

Each loan that qualifies under the ***Small Balance – DSCR*** product, will be underwritten to a minimum Stabilized DSCR requirement of **1.00x**. The DSCR loan amount should be sufficient to cover the existing RTL loan amount.

$$\text{DSCR} = \frac{\text{Qualifying Monthly Rent}}{\text{Total Expenses}}$$

Qualifying Monthly Rent:

- If the unit is rented at the time of origination, qualifying monthly rent is equal to the lesser of:
  - Lease in-place rent
  - 105% of Market rent
- If the unit is <u>not</u> rented at the time of origination, qualifying monthly rent is equal to the lesser of:
  - 100% of Market rent

Total Expenses:

Defined as the sum of the following line items:

- Principal: monthly principal payment based on initial loan amount and original interest rate.
- Interest: monthly interest payment based on initial loan amount and original interest rate.
- Taxes: as defined in the title report
- Insurance: as defined in the quote or official binder provided by the agent (includes flood if property located in flood zone)
- Operating Expenses: any additional actual expenses as summarized in the appraisal (i.e. utilities, maintenance & repairs, replacement reserves, general administration, trash removal, etc.)

Exit Strategy: Small Balance – Agency

Each loan that qualifies under the ***Small Balance - Agency*** product, will be underwritten to a minimum Stabilized DSCR requirement of **1.15x** calculated on a 30 year fully amortizing structure at 70.0% of the as-completed value. The Exit Interest Rate will be periodically adjusted to be in line with prevailing rates of the agency debt market.

$$\text{DSCR} = \frac{\text{NOI}}{\text{P\&I}}$$